Do Populists Rebuild Manufacturing? Cross-Country Evidence

Version: 11/9/2026 — Revision VI

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Abstract

Despite their frequent promises to revive domestic manufacturing, populist governments show little evidence of delivering sustained improvements. Using data for 86 countries from 1960 to 2019, we examine manufacturing output and employment using two-way fixed effects and dynamic event studies across alternative peer benchmarks. Manufacturing's share of GDP generally deteriorates over longer horizons following populist entry, while employment and output outcomes vary across benchmarks. Pre-entry differences and recurring populist spells limit causal interpretation. Overall, the evidence provides little support for a sustained manufacturing revival across outcomes and comparison groups.

JEL Codes: E65, L60, O14, P16

Keywords: Populism; Manufacturing; Industrial Policy; Event Studies

Introduction

Populists have long been recognized for distinguishing between "us" and "them" and constructing policy around that division. In general, "us" consists of those perceived to have been overlooked, marginalized, or harmed by existing political and economic arrangements, while "them" consists of those viewed as responsible for those outcomes. The specific groups identified as "them" differ across countries, cultures, and historical periods, but frequently include political and economic elites, foreign competitors, multinational corporations, immigrants, or other groups perceived to have benefited at the expense of ordinary citizens.

Within this worldview, manufacturing occupies a distinctive place. Manufacturing jobs are geographically concentrated and are closely associated with regional identity, economic security, and perceptions of national strength. Consequently, promises to restore or strengthen domestic manufacturing have become one of the most visible and enduring economic themes of populist

movements. Although left- and right-wing populists differ substantially in many policy dimensions—and often advocate different means of achieving industrial renewal—both frequently claim that domestic manufacturing has been weakened by political and economic elites and can be restored under a populist government. Because this promise is shared across otherwise diverse populist movements, we intentionally do not distinguish between left- and right-wing populism in the present analysis. Our objective is to evaluate whether populist governments, regardless of ideological orientation, systematically deliver on one of their most visible economic commitments.

Despite the prominence of manufacturing in populist rhetoric, surprisingly little empirical evidence addresses whether populist governments actually succeed in rebuilding manufacturing after taking office. Existing research has primarily focused on the causes of populism and its broader economic consequences, including growth, inflation, fiscal policy, trade, institutional quality, and macroeconomic performance. Comparatively little attention, however, has been devoted to manufacturing itself, even though industrial revival is among the most common economic promises made by populist politicians.

These promises also raise an important economic policy question. Governments seeking to rebuild manufacturing employ a wide range of instruments, including tariffs, subsidies, tax incentives, domestic-content requirements, and other forms of industrial policy. Such interventions can impose substantial economic costs and may generate trade-offs with other policy objectives. Evaluating whether governments that prioritize manufacturing revival actually achieve sustained improvements is therefore relevant not only to understanding populism but also to assessing the economic outcomes associated with interventionist industrial policies.

Beyond this, existing discussions largely take for granted that manufacturing decline precedes populist success. Yet remarkably little evidence documents whether countries that ultimately elect populist governments experience systematically different manufacturing trajectories before populists enter office. Distinguishing these inherited conditions from subsequent developments is central to understanding the manufacturing environments in which populists govern, even when the observed changes cannot be attributed solely to their policies.

This paper addresses that gap using event-study methods applied to a large cross-country panel. We express manufacturing outcomes relative to carefully constructed peer benchmarks and compare their evolution around populist entry with countries that have no observed entry during the sample. Country and year fixed effects account for permanent country differences and common global shocks. The resulting paths document pre-existing conditions and post-entry changes, while pre-entry differences qualify their interpretation as policy effects.

The paper makes three contributions. First, it documents the manufacturing trajectories that precede populist entry. The pre-treatment estimates reveal differences in both manufacturing's share of GDP and its share of employment, although the precise patterns and statistical significance vary across outcomes and benchmark definitions. These descriptive findings provide context for understanding why industrial revival may become politically salient without implying that manufacturing decline causes populist entry. Second, the paper evaluates whether these inherited trajectories change systematically after populists take office. Third, by comparing results across multiple peer-group definitions, we demonstrate that the principal post-entry conclusions are not driven by any single benchmark construction.

Consistent with this framework, our results provide little evidence of a manufacturing revival that is sustained across outcomes and comparison groups. The clearest post-entry pattern is a decline in manufacturing's share of GDP, interrupted by a temporary rebound in some peer specifications. Employment shares and the levels of output and employment display less uniform responses. The event studies also show changes before entry, so the post-entry paths should be interpreted alongside the manufacturing conditions that precede populist governments.

The remainder of the paper proceeds as follows. The next section reviews the related literature and develops the paper's empirical motivation. We then describe the data, explain the identification strategy and event-study methodology, present the empirical results, examine the pre-treatment patterns and post-treatment effects, and conclude with implications for understanding one of populism's most enduring economic promises.

Literature Review

The modern literature on macroeconomics and populism began in the 1980s with the rise of populist regimes across Latin America. While there was some early work by Drake (1982), Sachs (1989) and others, the modern view of populist macroeconomics was largely established through the work of Dornbusch and Edwards (1990) and the results of many researchers brought together by them and published in their conference collection, Dornbusch and Edwards (1991). That early literature focused on broad macroeconomic issues like balance of payments problems under fixed exchange rate regimes with unsustainable monetary and fiscal policy. Broad macroeconomic analysis was combined with detailed country-level political narratives, including a discussion of the strong redistributive interests of populist regimes which were achieved mostly through transfers, wage and price controls and the like.

While not usually the focus of the research – quite logically since the macro imbalance problems dwarfed most other issues - there was already a recognition that industrial policy was central to populist claims and political objectives. Drake (1982, p. 218), as cited in Dornbusch and Edwards (1990), argued that the "[programs] normally respond to the problems of underdevelopment by

expanding state activism to incorporate the workers in a process of accelerated industrialization through ameliorative redistributive measures".

Bazdresch and Levy (1991) argued further that Latin American populism systematically included industrialization as a major policy goal. Castro and Ronci (1991), in examining the case of Brazil, argued that industrialization has essentially always been a major populist policy goal dating back well before the 1980s. They write that, in Brazil, the "1930 revolution had broken up the old regime and brought forward a group of "young lieutenants"- mostly military -that lined up in favor of a new protectionist rule to promote domestic industries".

The effort to increase the domestic industrial-manufacturing base appears part and parcel of populist policy. This continues today with what are often called "new populists", defined in contrast to the "classical populists", generally seen as the left-leaning populists of the 1980s. Classical populist policies are described by Edwards (2019) as "a range of policies—protectionism, agrarian reforms, controls and regulations, and the nationalization of large companies—[*sic*] put in place by populist regimes, but the emphasis was on fiscal largesse financed by money creation as the main redistributive mechanism." New populists and their policies, by contrast, tend to be more right-leaning, to have flexible exchange rate regimes and not to go to the same extreme in monetary and fiscal policy. As a result, they also tend to avoid balance of payments crises and hyperinflation.

A common element, however, continues to be redistribution (from "them" to "us") through a range of policies, including pro-manufacturing industrial policy. Despite important differences in ideology and policy implementation, both classical left-wing and contemporary right-wing populist movements have repeatedly portrayed the revival of domestic manufacturing as a central economic objective. It is this common element, rather than the differences between populist traditions, that is the focus of this paper. Both classical and new populists, additionally, oppose globalization which necessarily requires efforts to protect and grow the country's domestic manufacturing base. Classical populist leaders were staunchly nationalistic, opposed foreign investors and often nationalized multinational firms (Edwards, 2019). New populists tend to oppose globalization more broadly championing national identity and fighting the loss of their domestic cultural heritage, criticize multilateral organizations and use government controls as a way to redirect income to particular groups, in particular via industrial policies like nationalization and general protectionism to support domestic industries (Edwards, 2019).

Recent work has built on the classical versus new populists by distinguishing further between left- and right-wing populism, emphasizing they can differ in important ways. Bergh and Kärnä (2022), for example, argue that unemployment is more closely associated with left-wing populism, while stricter employment protection is associated with right-wing populism. Bjørnskov and Berggren (2026) similarly distinguish between left- and right-wing populism when studying institutional

outcomes, emphasizing that populism is a thin-centered ideology that can attach itself to different ideological programs. Our question is different. We do not ask whether left- and right-wing populists pursue identical policies across all dimensions. Rather, we ask whether a recurring objective shared across many populist traditions be they classical, new, left or right —the revival and protection of domestic manufacturing—is achieved once populists enter office.

Sonno et al (2017), Margalit (2019), Tabellini (2019), Docquier et al (2024) and others identify the rise of populism with the perceived harm to traditional domestic manufacturing due both to imports and foreign competition as well as technological advances. In their view, broadly, the spread of globalism generally and the rise of China, specifically since the late 1990s, have combined with technological improvements to harm a specific demographic "socially conservative and less educated social strata" (Tabellini, 2019). These developments appear to have contributed to support for a more conservative, new populism in recent years. Others such as Docquier et al (2024) highlight that migration issues have also been on the rise adding to the populist backlash against globalization.

Colantone and Stanig (2019) argue, however, that economic issues are the main driver of the rise of populism in Europe starting with growing economic nationalism reflected in campaigns such as Brexit and other anti-globalist movements. In Europe, they argue that "[e]ntire manufacturing regions have lost prosperity over time. All this provides fertile ground for the electoral success of parties promising protectionism" (Colantone and Stanig, 2019, p. 136). And in the US, industrial policy to rebuild manufacturing has found support from the work of Autor, Dorn, and Hanson (2013) which highlights "the negative effects of the China shock on the US economy due to the displacement of domestic manufacturing." (Colantone and Stanig, 2019, p. 136). Their own work then indicates that the China shock has had effects larger than even Autor, Dorn, and Hanson (2013) claimed, especially on the electorate and, hence, on support for populism.

Since the ascent of populism in more recent years, academic interest has continued to focus in general on the causes of the rise. The first article we know of to ask the next logical question was Ball et al (2019) who asked about the effects of the policies of populism generally and whether there is any difference between the likely economic outcomes of classical and new populist movements. Their work largely updated and formalized the populist boom-bust cycle identified by Dornbusch and Edwards (1990) which they called a walking-stick pattern (i.e., "inverted J-curve") to capture that the boom is followed by prolonged decline, even under new populist regimes. Their work was followed by Funke et al (2023) who additionally developed an updated index of populism that includes more modern populist regimes. Asutay et al (2025) combined the insights of Ball et al (2019) and Funke et al (2023) with a theoretical model of populist policies that generates walking stick patterns and allowed one to distinguish between classical populist and new populist policies in the data.

The results of this line of populist macroeconomics research are, however, largely based on macroeconomic outcomes of GDP, inflation, unemployment and the TFP growth (in the case of Asutay et al, 2025). While we know new and old populist regimes tend to generate booms and busts, the question remains as to whether they at least succeed at rebuilding manufacturing. The most recent populist political movements argue that, once again, they will. Trump's MAGA Republican party in the USA (GOP 2024), Prime Minister Meloni's Fratelli d'Italia (Fratelli d'Italia 2022) and the AfD in Germany (Alternative für Deutschland 2025) have all claimed their policies will rebuild the industrial base or reshore manufacturing, back from foreign competitors.

The program of Fratelli d'Italia (Prime Minister Meloni's party) for the political elections 2022 (which they won) included two sections dedicated to sustaining "people who are creating welfare and jobs in Italy, incentivize relocation of production in Italy and discourage relocation abroad" and to "relance made in Italy, our mark, our proud" (Fratelli d'Italia 2022, sections S*ostenere il Sistema Imprenditoriale italiano,* Sostenere il sistema imprenditoriale italiano – Programma Fratelli D'Italia – Programma Fratelli D'Italia and *Made in Italy e orgoglio italiano,* Made in Italy e orgoglio italiano – Programma Fratelli D'Italia). After their first two years of government, they claimed success in employment and GDP growth (Fratelli d'Italia 2024, p. 3ff). Other Italian populist parties, such as Berlusconi's Forza Italia and Lega Nord (now only called Lega), also sold themselves as protectors of the manufacturing class (Lega 2022, p.16ff and 117; Forza Italia 2022, p.29f).

The AfD, Germany's largest populist party, argued that "Germany as an industrial location has lost attractivity and trust" and that the AfD should change this with new energy, tax, labor policies (Alternative für Deutschland 2025, p.13ff). Not surprisingly, the AfD received wide support in East Germany where manufacturing has fallen relative to the rest of the country. In their programs in regions like Saxony, Thuringia and Brandenburg (where they often are the strongest party), their representatives promised to sustain quality, local, small-sized manufacturing that create jobs and acts as a "motor" for the whole country (AfD Sachsen 2024, p.24ff; AfD Thüringen 2019, p. 37ff; AfD Brandenburg 2024, p.23ff).

The Trump administration in the United States made growing manufacturing's share of GDP and employment an explicit policy goal in their 2024 agenda (GOP 2024). Since winning the election, the administration's policies have pursued this through the tax code, deregulation, targeted industrial policy and protectionist tariff policy. The Trump administration even published an article on the White House website entitled "President Trump Continues to Drive an American Manufacturing Boom" (White House 2025), listing actions the administration has taken to reshore manufacturing.

The history of populists claiming to increase industrialization/manufacturing is a long one and continues today with new populists. We next turn to testing whether populists, once in office,

had any effect on manufacturing output and/or employment. We start by describing our data and global trends, then define relevant peer groups for comparisons and finally proceed with static then dynamic econometric analysis.

Local Manufacturing in a Global Context

The general trend in manufacturing worldwide provides some insight for why economic insecurity, especially for those likely to rely on traditional manufacturing jobs, might have lent support to populism. As Graph 1 shows, the average manufacturing share of GDP was rising in the 1970s but plateaued in the 1980s, flattening during the period when support for classical populism was on the rise in Latin America. It has been declining since the 1990s and the rate of decline accelerated in the 2000s, during the period when support for new populism has been on the rise.

GRAPH 1: Global average manufacturing share of GDP, 1960–2019



That the trend indeed is global means one needs to account for it when exploring any particular country's policy successes or failures. Critics of the Trump administration, for example, have already been pointing to the global trend as evidence that Trump's policies are failing and doomed to fail given the global trend (see The Economist, 2025, and Delouya, 2025, as examples). In Italy, critical voices have also called into question whether Meloni's administration is sustaining industrial growth as it promised to do (See Il Sole 24 Ore 2025).

To account for the global trend, all our analysis is conducted as performance relative to peers. We create six peer groups, each designed to capture various aspects of the local country's economy: Regional, GDP-size, Population, GDP per capita, Manufacturing-share and Manufacturing-employment. These are discussed further below. We then compare domestic manufacturing's share of GDP and total output as well as manufacturing's share of employment and total employment relative to peer performance during local populist regimes. Our econometric approach relies on a two-way fixed effects dynamic panel model as a first pass to find any evidence on average. We then turn to event studies to explore whether there are dynamic effects or delayed effects in order to give populist regimes the best possible chance to present positive results in the data. Finally, we conclude.

Data

Our data come from the Global Macroeconomic Database (Müller et al., 2025), merged with World Bank World Development Indicators data on manufacturing value added as a share of GDP (NV.IND.MANF.ZS) and industry employment as a share of total employment (SL.IND.EMPL.ZS)[1]. Our populist regime classification comes from Funke, Schularick, and Trebesch (2023).

We identify populist governments using the leader-based classification developed by Funke, Schularick, and Trebesch (2023). Their coding adopts a deliberately restrictive approach, classifying only political leaders for whom there is broad agreement in the comparative-politics literature that they are populists. We use the Funke et al. (2023) classification throughout the paper because it has become a widely used benchmark dataset in the empirical economics literature on populism and because it is a conservative measure of populism.

As a robustness check, we also use two broader classifications: Funke et al. (2023) combined with the BFK classification used by Asutay et al. (2025), and that union further combined with the Hawkins et al. (2019) measure at the 0.75 threshold. Both retain a longer-run negative pattern in manufacturing's share of GDP: six of seven peer specifications are significantly negative in the terminal bin for fifteen or more years after entry. The immediate-entry result is less robust, however: neither broader classification has a statistically significant GDP-share estimate at event time 0, and the broadest classification also has none at +1. Classification choices therefore matter for the timing and significance of the results. The full robustness results are available with the replication materials.[2]

[1] The World Bank's industrial employment is broader than just manufacturing. We use this as a proxy for manufacturing employment throughout and therefore employment-related results should be interpreted as reflecting the broader industrial sector rather than manufacturing alone.

We are generally interested in manufacturing as a share of GDP as the key metric of "rebuilding manufacturing" or "re-industrializing". Of additional interest is manufacturing employment as a share of total employment. Since our data on manufacturing's share of GDP and of employment both come from the World Bank, we use World Bank data on the total labor force and on GDP to reconstruct them in levels. Thus, manufacturing's total output in levels is its manufacturing share of GDP multiplied by GDP and manufacturing's total employment level for a country is its employment share times total employment. Political leaders could easily claim success in reindustrializing if manufacturing's share of GDP increases but, failing a relative improvement, they might still claim success if the total level of manufacturing rises. Similarly, they can claim success in bringing back traditional manufacturing jobs if they increase relative to overall employment but also if the total number of jobs increases.

These measures capture distinct policy objectives. An increase in manufacturing's share of GDP indicates an expansion relative to the rest of the economy, whereas an increase in manufacturing output in levels may occur even when manufacturing's share is declining. Similarly, manufacturing employment may increase in absolute terms without increasing its share of total employment. Distinguishing among these outcomes is important because policies intended to promote industrial production need not generate corresponding increases in manufacturing employment.

A complete table covering the time periods for our data by country is in the Appendix TABLE A.1. Our earliest data for GDP and manufacturing shares of GDP starts in 1960. While some of our data runs until 2023 or even 2024, we restrict analysis to 1960–2019 to exclude the Covid period. We are interested in general trends evolving over long horizons and data for 2020 and 2021 only add distortions to all the trends.

Because our specifications include country and year fixed effects, we do not additionally include time-invariant country characteristics or global controls. Country fixed effects absorb permanent differences across countries, while year fixed effects absorb common global shocks affecting all countries simultaneously. The remaining variation therefore comes from within-country changes over time.

Peer Groups

We create six peer groups against which we compare populist regimes: Regional, GDP-size, Population, GDP per capita, Manufacturing-share and Manufacturing-employment. The peer groups are designed to capture various aspects of being "a peer". Regional peers are more likely to have similar cultures, political institutions and potentially similar levels of economic development as well. Population and GDP per capita peers are included to capture market size similarities while GDP per capita also captures the level of economic development. Finally, manufacturing-share (of GDP) peers and manufacturing-employment (share of total

employment) peers capture peers with similar manufacturing base structures in the two dimensions we try to measure: GDP and employment.

Further details on each peer group can be found in the Appendix. It is worth noting, however, that data on manufacturing's share of GDP begins in 1970 or earlier, while data on manufacturing's share of employment generally begins around 2000. For variables such as GDP, population and GDP per capita that evolve over time, we intentionally assign countries to peer groups using a fixed baseline year rather than allowing peer groups to change throughout the sample. Holding peer groups fixed avoids making the benchmark endogenous to the outcomes being studied and provides a stable comparison group throughout the analysis.

A few countries have GDP and manufacturing-share data beginning in 1960, but most countries enter the sample by approximately 1980. We therefore use 2000 as the reference year for constructing all peer groups except manufacturing employment. Because 2000 is approximately the midpoint of the 1980–2019 sample period for the majority of countries, it provides a representative classification that is neither driven by early nor late sample observations. Manufacturing employment data are only widely available beginning around 2000, so for manufacturing-employment peer groups we instead use 2010, the approximate midpoint of the 2000–2019 sample.

We calculate all manufacturing outcomes relative to peer groups. For example, manufacturing's share of GDP relative to peers is calculated as the difference between the domestic manufacturing share and the average manufacturing share of the relevant peer group. Positive values therefore indicate that manufacturing performance is higher than that of comparable countries.

One potential concern is that manufacturing policies in one country may influence other countries through trade diversion or international spillovers. Peer groups define the relative outcome variable; they are distinct from the countries serving as the event-study reference cohort. We compare results across six peer-group definitions and a global benchmark to assess sensitivity to benchmark construction. Agreement across benchmarks is informative, but cannot rule out spillovers or establish that countries with and without populist entry would otherwise have followed parallel trends.

Empirical Analysis: Two-Way Fixed Effects

We estimate two-way fixed effects (TWFE) regressions to examine the association between populist regimes and our manufacturing outcomes (manufacturing share of GDP, manufacturing share of employment, manufacturing's total output and total manufacturing employment), each computed relative to various peer-group benchmarks. All specifications include country and year fixed effects, so identification comes from within-country changes over time, net of common global shocks. Standard errors are clustered at the country level to account for serial correlation

within countries. Each column corresponds to a different peer-group definition used to construct relative manufacturing performance measures.

For country i in year t, we estimate:

$$Y_{it} = \beta \text{ Populist}_{it} + \alpha_i + \gamma_t + \varepsilon_{it},$$

where Y_{it} is a manufacturing outcome measured relative to a peer-group benchmark, i.e. manufacturing's share of GDP, manufacturing's employment share, or manufacturing output/employment levels relative to peers; $Populist_{it}$ is an indicator equal to one if country i is governed by a populist regime in year t, and zero otherwise; α_i are country fixed effects, capturing time-invariant country characteristics such as geography, long-run industrial structure, or institutional features; γ_t are year fixed effects, capturing global shocks and common trends affecting all countries (e.g., business cycles, commodity price shocks, globalization); and ε_{it} is an idiosyncratic error term.

Table 1 reports two-way fixed-effects (TWFE) estimates of the association between populist governments and manufacturing outcomes measured relative to alternative peer-group benchmarks. Each specification includes country and year fixed effects, so identification comes from within-country changes over time after removing permanent cross-country differences and common global shocks. The estimated coefficient therefore summarizes the average association between populist governments and manufacturing performance over the entire period a populist government remains in office. Because treatment effects may evolve over time, these estimates should be interpreted as average effects rather than as constant causal impacts.

Each column presents results according to the peer group used to construct the relative outcome variable, allowing one to assess robustness to alternative comparison sets. Most coefficients are not statistically significant at the 5% level, providing little evidence of a common association between populist regimes and manufacturing performance across these specifications.

TABLE 1: TWFE Results

Variable for Populist Regime	PEER GROUP					
	Region	**GDP-size**	**Population**	**GDP per capita**	**Manuf % GDP**	**Manuf % Employ**
Manuf % GDP	-0.1767	0.1709	0.7544	0.2715	-0.0776	-0.1361
Obs.: 2,807	(0.5947)	(0.7587)	(0.8188)	(0.7766)	(0.6432)	(0.7141)
Within R2	0.00021	0.00014	0.00301	0.00040	3.78e-5	9.65e-5
Manuf % Employ	0.3277	0.5172	0.3710	-0.0959	0.5183	0.4985
Obs.: 2,203	(0.4897)	(0.6664)	(0.6044)	(0.5510)	(0.6498)	(0.6340)
Within R2	0.00171	0.00329	0.00185	0.00018	0.00327	0.00311
Manuf Output Level	4.28e+10*	-3.44e+9	2.36e+9	-1.94e+10	2.04e+10.	2.08e+9
Obs.: 2,807	(1.88e+10)	(1.86e+10)	(1.66e+10)	(3.1e+10)	(1.14e+10)	(1.27e+10)
Within R2	0.01046	7.27e-5	2.97e-5	0.00239	0.00283	2.87e-5
Manuf Employ	1,406,826.4	412,846.2	32,741.2	-139,248.2	868,180.5	438,322.7
Level Obs.: 2,143	(1,004,524.1	(678,273.7)	(613,822.2)	(520,222.5)	(1,026,239.8)	(691,704.5)
Within R2	0.00624	0.00054	3.98e-6	5.04e-5	0.00111	0.00058

Notes: All results use country and year fixed effects. All standard errors are clustered at the country level and numbers in parentheses are cluster-robust standard errors. Significance: *** p < 0.001; ** p < 0.01; * p < 0.05; . p < 0.10.

Across all four manufacturing outcomes, the TWFE estimates provide little evidence of a systematic association between populist governments and manufacturing performance. For manufacturing shares of GDP and employment, estimated coefficients are small, change sign across benchmark definitions, and are never statistically significant. Estimates for manufacturing output and employment levels likewise display no consistent pattern. Only one coefficient—the manufacturing output specification using Regional peers—is statistically significant, but it is not reproduced across alternative benchmark definitions.

The within R^2values are small across specifications, reflecting the fact that most of the variation in manufacturing outcomes is absorbed by country fixed effects and global time trends. The coefficients therefore capture relatively small within-country deviations from long-run manufacturing trajectories.

Taken together, the TWFE estimates provide little evidence that populist governments systematically affect manufacturing performance. By construction, however, TWFE estimates summarize an average effect over the entire duration of a populist government. If policy effects emerge gradually—or vary over time as governments implement industrial policies and firms adjust investment and employment decisions—a single average coefficient may conceal important dynamics. We therefore turn to a dynamic event-study framework that traces manufacturing outcomes before and after populist entry.

Dynamic Event Study Results

To examine manufacturing dynamics around populist entry, we estimate event-study models using the Sun and Abraham (2021) estimator. Outcomes are measured relative to peer benchmarks, and event-time coefficients are normalized to the year immediately preceding entry. The cohort-specific estimates allow the paths to vary across entry cohorts before aggregation. This framework documents both pre-entry manufacturing conditions and the timing and persistence of post-entry changes. It does not by itself remove pre-existing differences in trends or establish that subsequent changes were caused by populist policies.

We interpret pre-entry estimates substantively as well as diagnostically. They describe how relative manufacturing outcomes evolved before the first observed populist entry and reveal differences that may matter for the interpretation of subsequent developments. Significant pre-entry differences warrant caution when attributing post-entry estimates to the policies of populist governments.

The reference cohort consists of countries with no observed populist entry during the 1960–2019 analysis window; these observations remain in the estimation with zero cohort-by-event-time treatment indicators. This reference cohort is distinct from the peer groups used to construct the dependent variable. Treatment cohorts are defined by the first observed populist entry in each country, and countries with an entry are not designated as the never-treated reference cohort. The analysis follows outcomes after that first entry even if populism ends or recurs, so it describes first-entry trajectories rather than separate effects for every regime episode. Countries already populist when first observed may lack an observed pre-entry history, and effective samples differ with data availability and estimator exclusions.

For country i in year t, we estimate:

$$Y_{it} = \sum_{k \neq -1} \beta_k \mathbb{1}(t - T_i = k) + \alpha_i + \gamma_t + \varepsilon_{it},$$

where Y_{it} is a manufacturing outcome measured relative to a peer-group benchmark, including manufacturing GDP share, manufacturing employment share, manufacturing output level, or manufacturing employment level; T_i denotes the year of entry into a populist regime for country i, $\mathbb{1}(t - T_i = k)$is an indicator equal to one if year t is k years relative to populist entry; α_i are country fixed effects; γ_t are year fixed effects; and, ε_{it} is an idiosyncratic error term.

The model is estimated by the Sun and Abraham (2021) interaction-weighted event-study estimator. This estimator is designed for settings with staggered treatment adoption and allows treatment effects to vary flexibly by both cohort and event time. Event time $k = -1$ is omitted and serves as the reference period. The specification then estimates cohort-specific dynamic

effects and aggregates them into event-time coefficients β_k that are robust to heterogeneous treatment effects across cohorts.

To conduct the analysis, one first determines the window of time when a populist regime takes office. Exact window lengths are a choice. Our data runs from 1960 to 2019 and includes 86 countries in total, 25 of which had a populist regime in office for at least 1 year. Populist regimes in our sample last on average 6.95 years with a standard deviation of 4.62 years. This is slightly biased by a few long regimes, the maximum length being 21 years. The median length in our sample is 6 years.

We display a six-year pre-entry window while retaining earlier observations in a pooled lead bin. Event time −6 combines all observations six or more years before entry; −5 through −2 are individual leads, and −1 is the omitted reference year. This construction retains available histories rather than requiring every country to have six observed pre-entry years.

For the post-entry period, we allow a sufficiently long horizon to observe changes in production and employment that may emerge gradually. Because the design follows the first entry, later observations can occur after the initial populist regime has left office or after a subsequent populist spell. Long-horizon coefficients therefore describe outcomes following first entry, rather than the effect of a continuously serving government.

We report individual event-time estimates from entry through fourteen years afterward, with the final event-time coefficient combining all observations occurring fifteen or more years after treatment. The resulting event window of $k \in [-6, +15]$ contains a pooled early-history bin, individual pre-entry leads, entry-year and subsequent coefficients, and a terminal bin. The endpoint estimates pool observations across years and contributing cohorts; they should not be interpreted as single-year responses.

Each coefficient β_k measures the average difference in the outcome at event time k relative to the year immediately preceding populist entry ($k = -1$), after controlling for country and year fixed effects. Pre-treatment coefficients ($k < 0$) provide a diagnostic for pre-trends. Post-entry coefficients ($k \geq 0$) trace the dynamic evolution of manufacturing outcomes following populist entry.

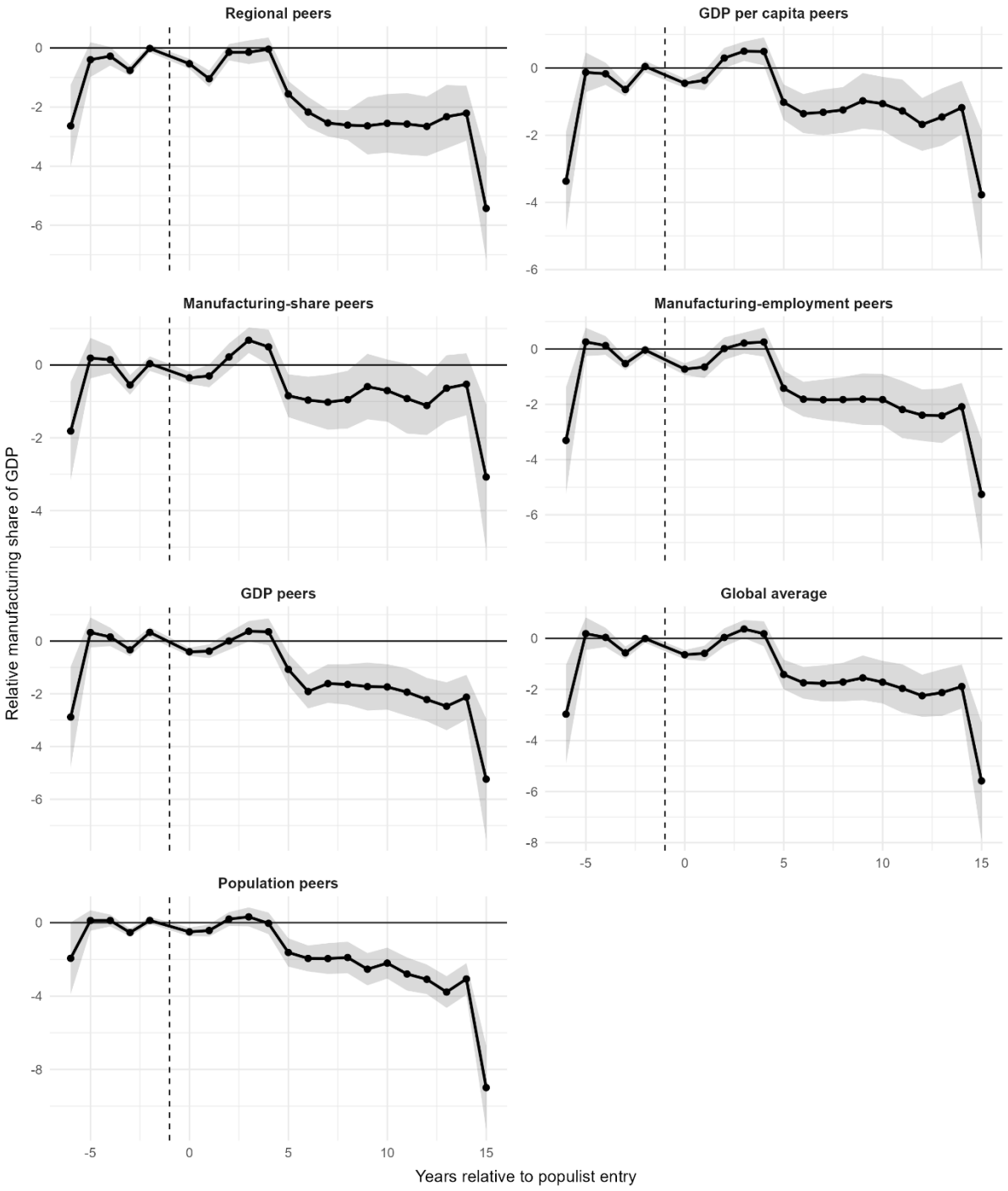
Standard errors are clustered at the country level allowing for serial correlation and heteroskedasticity within countries over time. Confidence intervals shown in figures correspond to 95 percent confidence intervals based on clustered standard errors. Significance statements refer to individual coefficients and their pointwise confidence intervals; they do not constitute a joint test of parallel pre-entry trends.

The analysis that follows is organized around four outcomes—manufacturing share of GDP, manufacturing share of employment, manufacturing output in levels and manufacturing

employment in levels—and presents results relative to all seven benchmarks. We distinguish the entry year (event time 0) from the first subsequent year (+1), and discuss pre-entry paths, post-entry paths and their interpretation.

Manufacturing Share of GDP

GRAPH 2: Manufacturing Share of GDP Around Populist Entry Relative to Peers



Pre-entry The pre-entry path varies over time. The pooled early-history bin (−6) is negative and significant for six of the seven benchmarks, and the −3 coefficient is negative and significant in all seven. Estimates at −5 and −4 are not significant, while at −2 only the GDP-size peer estimate is

significantly positive. These fluctuations describe changes relative to the omitted year −1, rather than a uniform decline immediately before entry. They also show that manufacturing outcomes were already changing before populists took office.

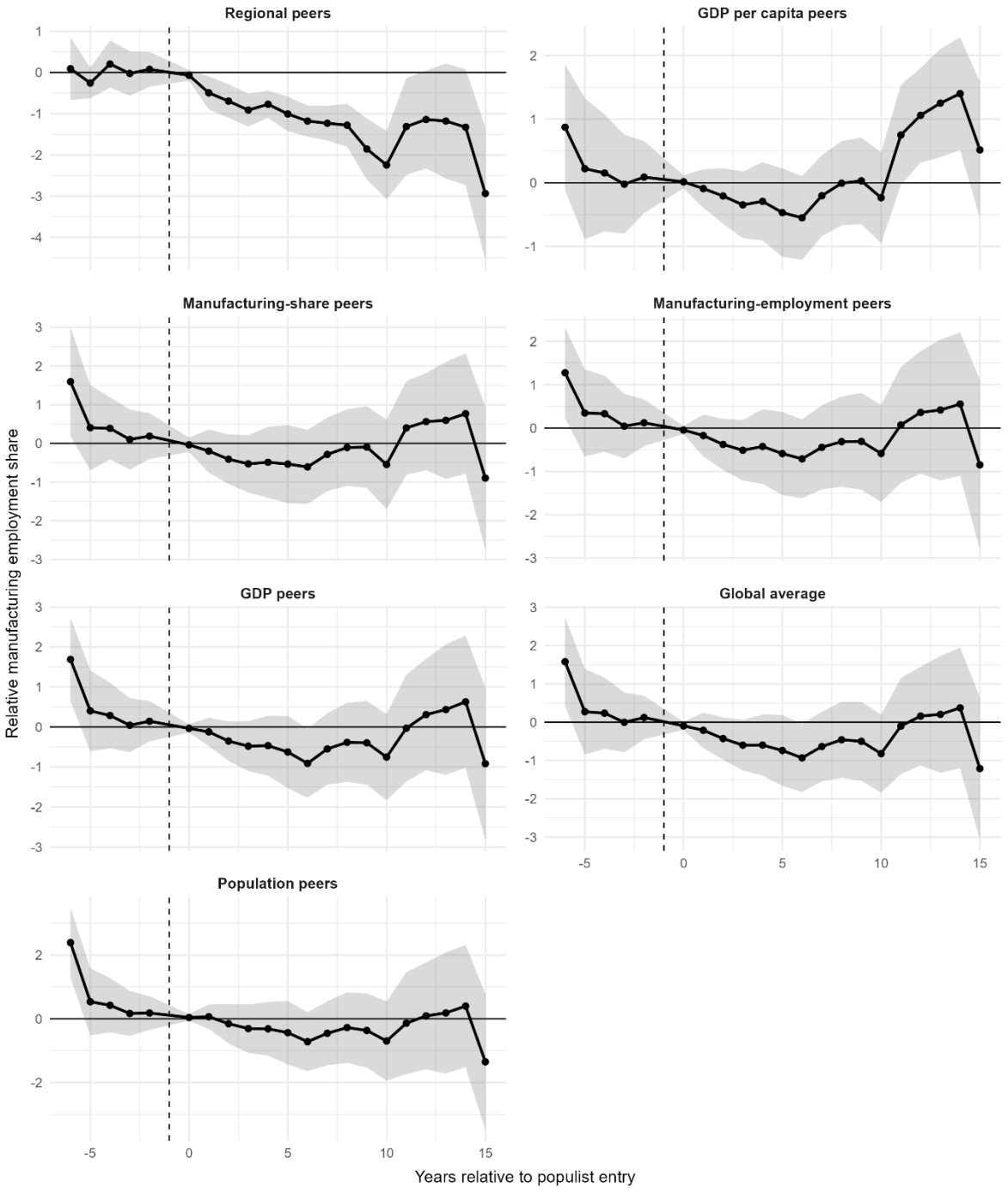
Post-entry In the year of populist entry (event time 0), all seven estimates are negative and statistically significant at the 5% level. At +1, all remain negative and six are significant; the manufacturing-share peer estimate is the exception. A temporary rebound follows in several specifications. At +3, estimates are significantly positive relative to GDP-per-capita peers, manufacturing-share peers and the global benchmark; at +4, the first two remain significantly positive. From +5 through +8, all seven estimates are significantly negative. The longer-run pattern is predominantly negative, and all seven terminal-bin estimates for fifteen or more years after entry are significantly negative, although intervening estimates are not significant in every specification.

Interpretation The GDP-share results show a common sequence of an initial decline, a brief rebound in some benchmarks and subsequent relative deterioration. The rebound is statistically significant in selected specifications, so it should not be dismissed as uniformly insignificant. Equally, it does not amount to a sustained recovery relative to the pre-entry reference year. The pre-entry differences and the first-entry design prevent us from attributing the full sequence to particular populist policies or to one continuously serving government.

The temporary rebound followed by decline resembles aspects of the “walking stick” pattern discussed by Asutay et al. (2025). This resemblance is descriptive: the estimates do not identify which policies produced the rebound or the subsequent decline. They are consistent with short-lived improvements being politically salient, but cannot establish that such improvements explain continued electoral support for populist manufacturing promises.

Manufacturing Employment Share

GRAPH 3: Manufacturing Employment Share Around Populist Entry Relative to Peers



Pre-entry The pooled early-history bin is positive and significant for five benchmarks: GDP-size, population, the global average, manufacturing-share and manufacturing-employment peers. The individual leads from −5 through −2 are not significant in any benchmark. Relative employment shares were therefore higher in parts of the more distant pre-entry history than in the omitted

year −1, but the estimates do not establish a smooth annual decline or imply that eventual-populist countries had higher employment shares than their peers in absolute terms.

Post-entry No entry-year estimate is statistically significant. Relative to regional peers, employment shares are significantly negative from +1 through +11 and in the terminal +15 bin. Most other benchmarks show fewer significant changes: GDP-size peers and the global benchmark are significantly negative at +6, while GDP-per-capita peers are significantly positive at +12 through +14. Only the regional estimate is significantly negative in the terminal bin. The evidence therefore supports a regional pattern of deterioration rather than a uniformly significant decline across all benchmarks.

Interpretation The employment-share evidence is less uniform than the GDP-share evidence. It offers little support for a sustained increase reproduced across peer definitions, while allowing gains in selected years and benchmarks. The historical employment-share differences provide context for industrial-revival rhetoric, but the estimates do not establish that manufacturing conditions caused populist support or that subsequent changes reflect identified policy effects.

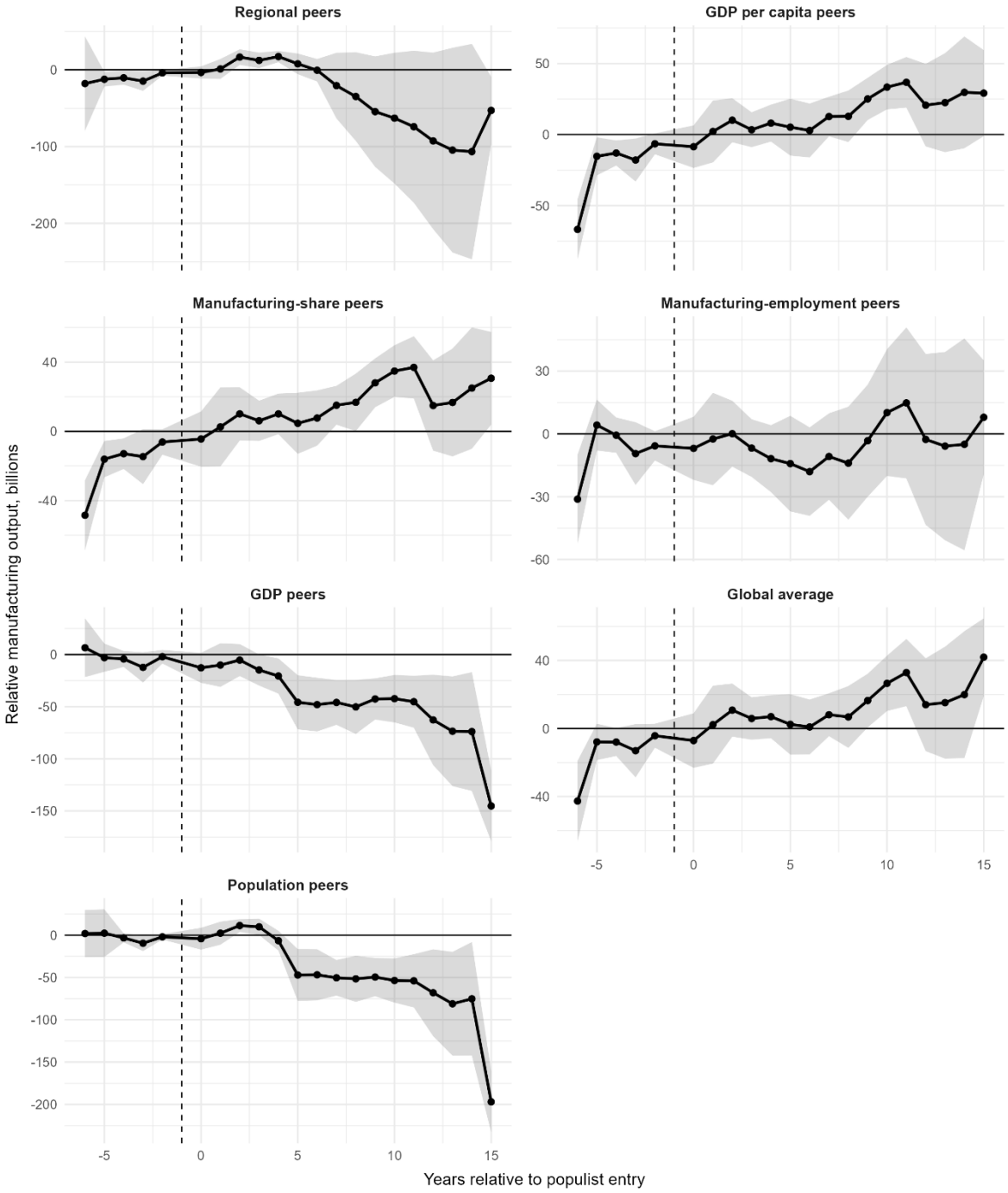
Manufacturing Output Levels

Pre-entry Manufacturing output levels exhibit significant pre-entry differences in several specifications. Regional-peer coefficients are negative and significant from −5 through −2; GDP-per-capita peers are significantly negative from the early-history bin through −3, and manufacturing-share peers from that bin through −4. Other benchmarks show more isolated differences. Output-level paths therefore also require attention to conditions preceding entry.

Post-entry The entry-year and +1 coefficients are not significant in any benchmark, but later results are heterogeneous. Regional peers show significant gains at +2 through +4, population peers at +2 and +3, and several other comparisons show gains later in the window. Negative estimates persist for GDP-size peers from +4 onward and population peers from +5 onward. In the terminal bin, regional, GDP-size and population comparisons are significantly negative, while manufacturing-share peers and the global benchmark are significantly positive.

Interpretation Output-level results do not support a single response shared across benchmarks: both gains and losses can persist in selected comparisons. This heterogeneity contrasts with the common longer-run decline in manufacturing's share of GDP. A falling share does not necessarily imply an absolute contraction in manufacturing output, and neither set of estimates alone establishes a policy effect.

GRAPH 4: Total Manufacturing Output Level Around Populist Entry Relative to Peers



The share and level measures address different dimensions of manufacturing performance. Their peer-relative event-time coefficients cannot be combined to infer that populist countries have larger GDP levels than their peers. Similarly, membership in a GDP-size peer group reflects the fixed baseline classification; it does not hold each country's GDP constant over time. The negative

output-level paths for GDP-size and population peers should therefore be read alongside the gains found using other benchmark definitions.

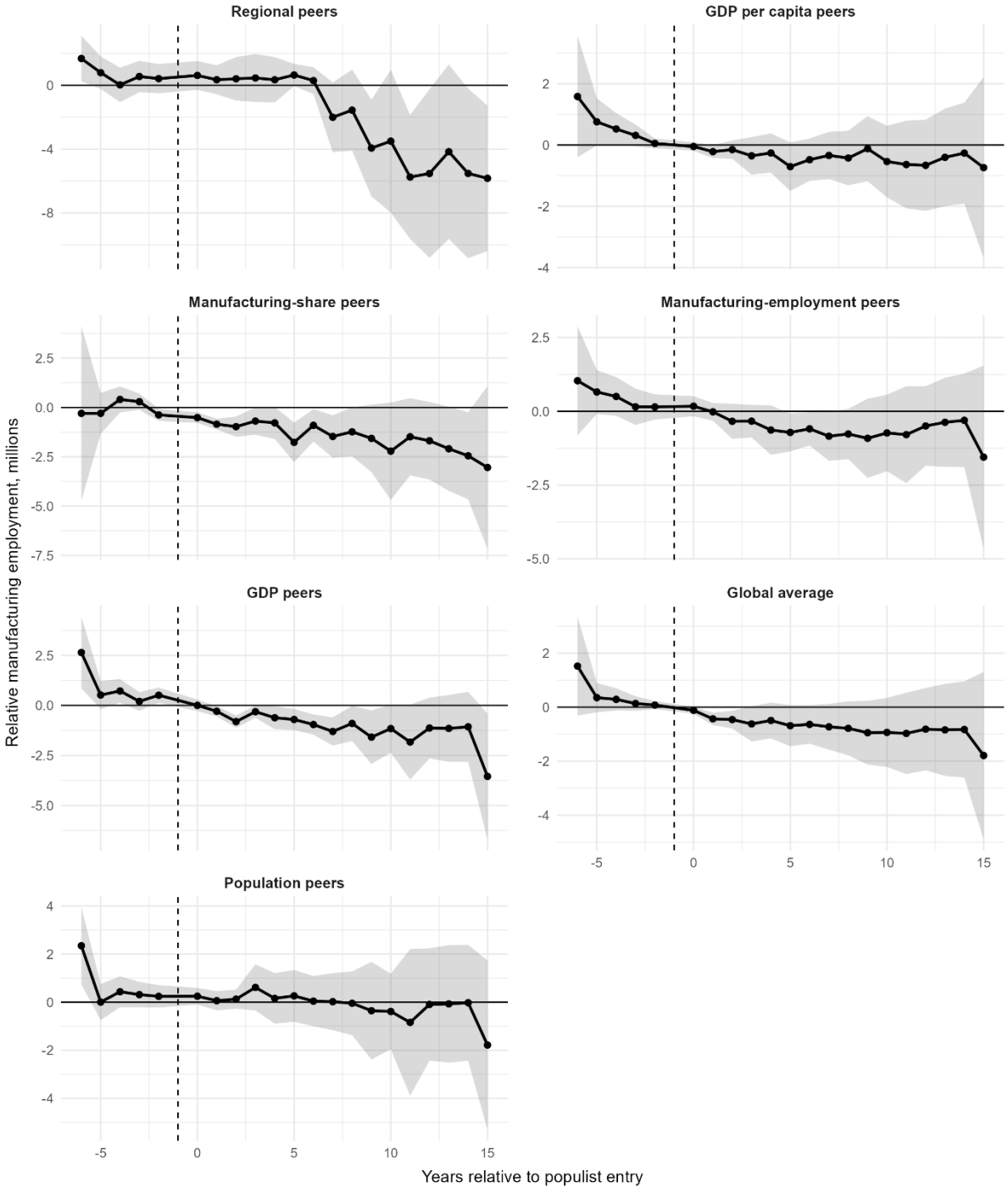
Manufacturing Employment Levels

Pre-entry Employment levels show some significant pre-entry differences. The pooled early-history bin is positive and significant relative to regional, GDP-size and population peers. GDP-size and GDP-per-capita comparisons are significantly positive at −4; at −2 the GDP-size estimate is significantly positive and the manufacturing-share estimate significantly negative. These differences indicate heterogeneous pre-entry paths rather than a uniform employment-level trajectory.

Post-entry The manufacturing-share peer estimate is significantly negative in the entry year, and four benchmarks are significantly negative at +1. Subsequent negative estimates are more persistent for GDP-size peers and occur at selected horizons for several other benchmarks. In the terminal bin, the regional and GDP-size estimates are significantly negative; the other five are not significant. No post-entry coefficient is significantly positive in any benchmark, although this absence does not demonstrate that all underlying effects are zero.

Interpretation Employment-level results provide no statistically significant evidence of a post-entry increase, and show significant declines at several horizons. They nevertheless differ across peer groups in timing and persistence, so they should not be summarized as a common, continuously significant fall. As with the other outcomes, pre-entry differences and the treatment-timing convention qualify a causal interpretation.

GRAPH 5: Total Manufacturing Employment Level Around Populist Entry Relative to Peers



Interpretation and Implications

The event studies complement the earlier two-way fixed-effects estimates by revealing dynamics that an average association can conceal. GDP-share estimates show a brief rebound in some comparisons followed by a common longer-run negative pattern. Employment shares and the

levels of output and employment are less uniform. In particular, some output-level comparisons show persistent gains, so the absence of a manufacturing revival consistent across outcomes should not be interpreted as an absence of improvement in every specification.

Three patterns summarize the results. First, the main classification's longer-run decline in manufacturing's share of GDP is reproduced across all seven peer benchmarks, while the other outcomes show greater heterogeneity. Second, both broader populism classifications retain significant negative GDP-share estimates for six benchmarks in the terminal bin, but neither reproduces the main classification's significant entry-year decline. Third, manufacturing outcomes already differ before entry, with patterns varying across outcomes and classifications. These differences limit causal claims and caution against a single account of the conditions populists inherit.

These findings should be interpreted in light of the political promises that motivate the analysis. Across both left- and right-wing variants of populism, governments frequently campaign on restoring manufacturing through tariffs, industrial policy, reshoring or other interventions. The observed paths provide little support for a broad revival sustained across outcomes and benchmarks, despite temporary GDP-share rebounds and selected output-level gains. They do not identify the contribution of any particular policy or establish why voters support these promises.

From a policy perspective, the distinction between manufacturing shares, output levels, and employment is important. A government may succeed in expanding manufacturing output without increasing manufacturing's relative importance in the economy or generating additional manufacturing employment. Conversely, an increase in manufacturing's share of GDP does not necessarily indicate an increase in manufacturing output or jobs. The absence of consistent improvements across these measures suggests that claims of industrial revival should be evaluated against clearly specified objectives rather than a single headline indicator.

The pre-entry evidence offers context for populist manufacturing rhetoric rather than a single explanation for populist support. Different countries may enter populist periods after different combinations of historical employment changes, recent relative weakness or broader industrial insecurity. Because the design follows first observed entry through subsequent exits and possible re-entries, its longer-horizon estimates also combine outcomes under different subsequent political histories.

Conclusion

This paper examines whether populist governments succeed in achieving one of their most frequently stated economic objectives: rebuilding domestic manufacturing. Using a panel of 86 countries between 1960 and 2019, we compare manufacturing performance during populist

governments with performance in comparable peer countries using both two-way fixed-effects models and dynamic event-study methods. By evaluating multiple manufacturing outcomes across several alternative benchmark definitions, we provide a broad assessment of whether populist governments systematically alter manufacturing performance after entering office.

Our principal finding is that the evidence does not support a manufacturing revival that is sustained across outcomes and benchmark definitions. In the main classification, manufacturing's share of GDP is significantly lower at entry in all seven comparisons, briefly rebounds in some specifications, and is significantly lower in all seven terminal-bin estimates. Both broader classifications retain the longer-run negative pattern for six comparisons, while their entry-year estimates are not significant. Employment shares and output and employment levels are more heterogeneous: some output-level comparisons show gains, whereas employment levels show significant losses at selected horizons and no significant post-entry gains. These patterns describe manufacturing developments around entry; pre-entry differences and subsequent changes in populist status qualify their interpretation as causal effects.

The analysis also provides descriptive evidence on manufacturing conditions preceding populist entry. The pre-entry paths differ across outcomes, peer benchmarks and populism classifications, and do not establish that industrial decline causes populist support. Their presence reinforces the importance of distinguishing inherited conditions from subsequent developments rather than attributing every post-entry difference to the policies of populist governments.

More broadly, manufacturing remains central to populist political narratives across countries and ideologies, yet the results provide little evidence of a common, lasting revival after populist entry. Temporary rebounds and gains in selected comparisons coexist with longer-run GDP-share deterioration and heterogeneous employment outcomes. These findings suggest that policymakers should distinguish between expanding manufacturing output, increasing manufacturing's share of economic activity, and creating manufacturing employment when defining and evaluating industrial policy objectives. Identifying which specific policies, if any, can deliver sustained improvements remains an important question for future research.

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The Appendix

TABLE A.1. Countries and Data Availability.

Country	Manuf %GDP	Manuf %Emp	Country	Manuf %GDP	Manuf %Emp
Albania	2005–2017	2005–2017	Korea	1960–2020	1991–2020
Argentina	1965–2020	1991–2020	Kyrgyzstan	2005–2017	2005–2017
Armenia	2012–2018	1998–2018	Latvia	1995–2020	1991–2020
Australia	1990–2022	1991–2022	Lithuania	1995–2020	1991–2020
Austria	1976–2020	1991–2020	Luxembourg	1995–2020	1991–2020
Azerbaijan	2008–2013	2008–2013	Macedonia	2006–2016	2006–2016
Belarus	2001–2022	2001–2022	Malaysia	1960–2020	1991–2020
Belgium	1995–2020	1991–2020	Malta	1970–2020	1991–2020
Bolivia	1970–2020	1991–2020	Mexico	1965–2022	1991–2022
Brazil	1960–2022	1991–2022	Moldova	2001–2019	2001–2019
Bulgaria	NA	1991–2021	Mongolia	2005–2009	2005–2009
Canada	1997–2021	1991–2022	Montenegro	2008–2018	2008–2018
Chile	1960–2022	1991–2022	Myanmar	2011–2022	2011–2022
China	2004–2020	1991–2020	Netherlands	1969–2020	1991–2020
Colombia	1965–2020	1991–2020	New Zealand	1971–2020	1991–2020
Costa Rica	1970–2018	1991–2018	Nicaragua	1994–2022	1991–2022
Croatia	1995–2022	1991–2022	Norway	1970–2021	1991–2021
Cyprus	1975–2020	1991–2020	Panama	1970–2019	1991–2019
Czechia	1993–2020	1991–2020	Paraguay	1962–2020	1991–2020
Denmark	1966–2020	1991–2020	Peru	1960–2020	1991–2020
Dominican Rep.	1965–2020	1991–2020	Philippines	2000–2022	1991–2022
Ecuador	1960–2021	1991–2021	Poland	1995–2020	1991–2020
Egypt	1974–2020	1991–2020	Portugal	1995–2020	1991–2020
El Salvador	1999–2022	1999–2022	Romania	1991–2022	1991–2022
Estonia	1995–2020	1991–2020	Russia	2002–2020	1991–2020
Finland	1975–2020	1991–2020	Serbia	2001–2017	2001–2017
France	1960–2022	1991–2022	Singapore	1997–2022	1997–2022
Georgia	2004–2018	2004–2018	Slovakia	1995–2020	1991–2020
Germany	1991–2020	1991–2020	Slovenia	1995–2020	1991–2020
Ghana	2005–2009	2005–2009	South Africa	1960–2022	1991–2022
Greece	1995–2020	1991–2020	Spain	1995–2020	1991–2020
Guatemala	1965–2020	1991–2020	Sweden	1980–2021	1991–2021
Honduras	1960–2022	1991–2022	Switzerland	1990–2021	1991–2021
Hungary	1995–2020	1991–2020	Tajikistan	1994–2022	1994–2022
Iceland	1995–2020	1991–2020	Thailand	1960–2020	1991–2020
India	1960–2022	1991–2022	Turkey	1960–2020	1991–2020
Indonesia	1983–2022	1991–2022	Turkmenistan	1993–2004	1991–2022
Iran	2005–2013	2005–2013	Ukraine	2005–2019	2005–2019
Ireland	1995–2020	1991–2020	United Kingdom	1990–2020	1991–2020
Israel	1995–2020	1991–2020	United States	1997–2021	1991–2021
Italy	1990–2021	1991–2021	Uruguay	1983–2020	1991–2020
Japan	1994–2020	1991–2020	Uzbekistan	2010–2015	2000–2015
Kazakhstan	1999–2015	1999–2015	Venezuela	1968–2011	1991–2022

TABLE A.2: Populist Regimes and Country Details from Funke et al (2023)

Country	Leader	Years	Country	Leader	Years
Argentina	Perón	1973–1974	Italy	Lega M5Sa	2018–
Argentina	Martínez	1974–1976	Japan	Koizumi	2001–2006
Argentina	Menem	1989–1999	Mexico	Echeverría	1970–1976
Argentina	Kirchner	2003–2007	Mexico	López Obrador	2018–
Argentina	Fernández	2007–2015	New Zealand	Muldoon	1975–1984
Bolivia	Estenssoro	1960–1964	Peru	Garcíac	1985–1990
Bolivia	Morales	2006–2019	Peru	Fujimori	1990–2000
Brazil	Collor	1990–1992	Philippines	Estrada	1998–2001
Brazil	Bolsonaro	2019–	Philippines	Duterte	2016–
Bulgaria	Borisov	2009–2013	Slovakia	Mecˇiar	1994–1998
Bulgaria	Borisov	2014–2017	Slovakia	Fico	2006–2010
Bulgaria	Borisov	2017–	Slovakia	Fico	2012–2018
Ecuador	Velasco	1960–1961	South Africa	Zuma	2009–2018
Ecuador	Velasco	1968–1972	South Korea	Roh	2003–2008
Ecuador	Bucaram	1996–1997	Taiwan	Chen	2000–2008
Ecuador	Correa	2007–2017	Thailand	Shinawatra	2001–2006
Germany	Hitler	1933–1945	Turkey	Erdogˇan	2003–
Greece	Tsipras	2015–2019	United Kingdom	Johnson	2019–
Hungary	Orbánc	2010–	United States	Trump	2017–
India	Gandhic	1966–1977	Chile	Ibáñez	1925
India	Modi	2014–	Chile	Alessandri	1925
Indonesia	Sukarno	1949–1966	Poland	Law and Justice (PiS)	2005–2007
Indonesia	Widodo	2014–	Poland	Law and Justice (PiS)	2015–
Israel	Netanyahu	1996–1999	Slovakia	Mečiar	1990–1991
Israel	Netanyahu	2009–	Slovakia	Mečiar	1992–1994
Italy	Berlusconi	1994–1995	Venezuela	Chávez	1999–2013
Italy	Berlusconi	2001–2006	Venezuela	Maduro	2013–
Italy	Berlusconi	2008–2011			

TABLE A.3: Peer Group Bin Details

GDP-size Peer Groups	Count	GDP per capita Peer Groups	Count
Large GDP	18	High income	24
Upper-middle GDP	18	Upper-middle income	17
Lower-middle GDP	18	Lower-middle income	23
Small GDP	18	Low income	8
No baseline GDP (2000)	14	No baseline GDPpc (2000)	14
Region Peer Groups		**Population Peer Groups**	
Western Europe	20	Large population	8
Central & Eastern Europe	17	Upper-middle population	11
Latin America & Caribbean	17	Lower-middle population	20
Former Soviet Union / Eurasia	10	Small population	33
South & Southeast Asia	7	No baseline population (2000)	14
East Asia	4		
Middle East & North Africa	4		
North America	3		
Oceania	2		
Sub-Saharan Africa	2		
		Manuf. Share of Employment	
Manuf. Share of GDP Peer Groups		**Peer Groups**	
High manuf/GDP (Q4)	17	High manuf emp (Q4)	21
Upper-middle manuf/GDP (Q3)	16	Upper-middle manuf emp (Q3)	20
Lower-middle manuf/GDP (Q2)	16	Lower-middle manuf emp	21
Low manuf/GDP (Q1)	17	Low manuf emp (Q1)	21
No baseline manuf/GDP (2000)	20	No baseline manuf emp (2010)	3

Group 1: Region

Our regional peer groups (and country count) are as follows: **North America:** Canada, Mexico, and the United States. **Latin America & Caribbean:** Argentina, Bolivia, Brazil, Chile, Colombia, Costa Rica, Dominican Republic, Ecuador, El Salvador, Guatemala, Honduras, Nicaragua, Panama, Paraguay, Peru, Uruguay, and Venezuela. **Western Europe: Austria, Belgium, Cyprus, Denmark**, Finland, France, Germany, Greece, Iceland, Ireland, Italy, Luxembourg, Malta, Netherlands, Norway, Portugal, Spain, Sweden, Switzerland, and the United Kingdom. **Central & Eastern Europe:** Albania, Bulgaria, Croatia, Czechia, Estonia, Hungary, Latvia, Lithuania, Macedonia, Moldova, Montenegro, Poland, Romania, Serbia, Slovakia, Slovenia, and Ukraine. **Former Soviet Union / Eurasia** (Non-EU post-Soviet states): Armenia, Azerbaijan, Belarus, Georgia, Kazakhstan, Kyrgyzstan, Russia, Tajikistan, Turkmenistan, and Uzbekistan. **East Asia:** China, Japan, Korea, and Mongolia. **South & Southeast Asia:** India, Indonesia, Malaysia, Myanmar, Philippines, Singapore, and Thailand. **Middle East & North Africa (MENA):** Egypt, Iran, Israel, and Turkey. **Sub-Saharan Africa:** Ghana and South Africa. **Oceania:** Australia and New Zealand.

Our other peer groups are based on GDP, population and manufacturing shares. Since countries can move in and out of various non-regional peer groups over time, we choose a base year to define a country's peers.

Group 2: GDP Size (baseline year: 2000).

Countries are grouped by overall economic size using log GDP in the baseline year 2000. We use log GDP rather than levels to reflect the highly skewed global distribution of output and to ensure that differences between small and large economies are economically meaningful rather than mechanically driven by scale. Countries are assigned to quartiles based on the cross-country distribution of log GDP in 2000, creating four size-based peer groups that are stable over time and comparable in relative economic mass.

Group 3: Population Size (baseline year: 2000).

Population groups are defined using population levels in the fixed baseline year 2000. Thresholds are chosen to be roughly log-spaced, reflecting the nonlinear scaling of population across countries, while remaining interpretable in absolute terms. This grouping captures demographic scale independently of economic size and allows comparisons between countries facing similar labor-force and market-size constraints.

Group 4: GDP per Capita (baseline year: 2000).

GDP per capita groups are constructed using income levels in 2000, reflecting differences in development rather than scale. Countries are grouped using standard income categories (low, lower-middle, upper-middle, and high income), which align with conventional development classifications and facilitate interpretation.

Group 5: Manufacturing Share of GDP (baseline year: 2000).

Countries are grouped based on their manufacturing value-added share of GDP in the fixed baseline year 2000. Quartiles of the cross-country distribution are used to define groups, allowing countries to be compared against peers with similar manufacturing intensity in the baseline year.

Group 6: Manufacturing Employment Share (baseline year: 2010).

Manufacturing employment groups are defined using the manufacturing share of total employment in 2010. Unlike other variables, manufacturing employment data are only widely available from around 2000 onward, making 2010 the approximate midpoint of the 2000–2019 sample window. Grouping countries by quartiles of manufacturing employment share captures differences in labor allocation across sectors while preserving comparability across countries with varying labor-market structures.